Deutsche Bank
Research

Asia
China
Hong Kong

Energy
Alternative Energy

Industry
China Solar Sector

Date
7 July 2026

Forecast Change

Lingering at the bottom; solar glass nearing a cyclical turning point

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Key Changes

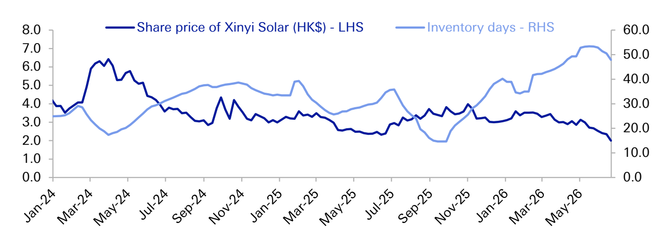
Company	Target Price	Rating
0968.HK	4.70 to 3.60	-
2865.HK	50.00 to 39.00	-
3800.HK	1.40 to 1.10	-

Source: Deutsche Bank

Solar glass: Approaching a near-term inflection

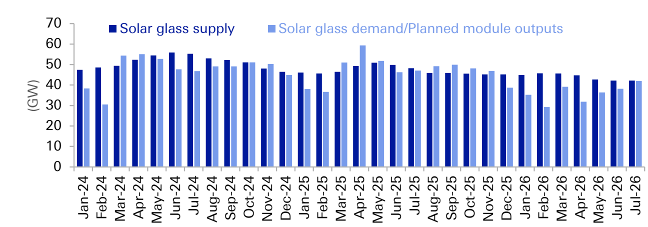
Following around nine months of inventory build-up and price correction since 4Q25, we believe the solar glass sector may be approaching a cyclical inflection point. Industry inventories appear to have peaked in mid-June 2026 and have since declined by c.10%, with the pace of destocking accelerating in recent weeks. This is consistent with our monthly supply-demand analysis, which suggests the industry could enter a destocking phase in July, supported by a modest recovery in module demand (+10% MoM) and declining glass supply. With end demand still at a low base and likely to recover seasonally into 4Q26, while weak industry economics limit capacity restarts, we expect solar glass prices to rebound in the coming months. Xinyi Solar's (0968.HK) share price has corrected by c.38% since mid-May 2026, and we view the current valuation of 0.6x P/B as offering an attractive risk-reward profile.

Figure 1: The share price of Xinyi Solar vs. solar glass industry inventory



Source : Bloomberg Finance LP, SCI99

Figure 2: Solar glass - monthly supply-demand analysis (DBe)



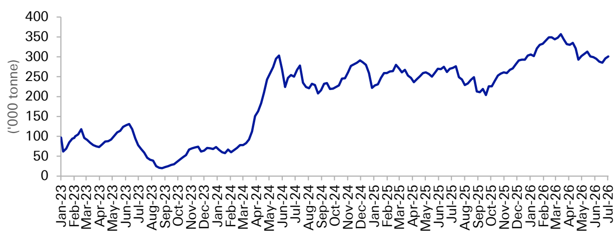
Source : SCI99, Deutsche Bank estimates

Polysilicon: Inventory build-up resumes

On the other hand, the roughly three months of inventory destocking in the polysilicon segment (which we believe was largely driven by Tongwei), during which producer inventories declined by at most c.20%, now appears to have come to an end. With hydropower-rich southwestern China entering the summer wet season, idled polysilicon capacity is gradually returning to the market. According to SMM, July polysilicon production is expected to increase by 6-7% MoM.

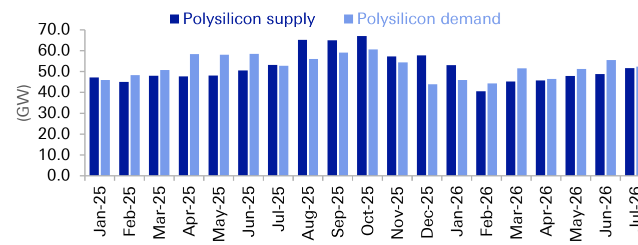
China's long-awaited energy-consumption and energy-efficiency standards covering polysilicon, wafers and modules have now been finalised and will take effect on 1 January 2027. If effectively enforced, the new standards could eliminate close to one-third of existing polysilicon capacity and reduce effective industry capacity to around 2.4mtpa. However, we do not believe this alone would be sufficient to restore industry profitability, as weak end-demand remains the key challenge. We forecast polysilicon demand of 1.4mt in 2027E, implying industry utilisation is likely to remain below 60% even after the anticipated capacity rationalisation.

Figure 3: Polysilicon industry inventory (at polysilicon producers)



Source : SMM

Figure 4: Polysilicon monthly supply-demand analysis (DBe)



Source : SMM, Deutsche Bank estimates

Valuation and earnings revisions

We cut earnings forecasts and target prices for Xinyi Solar, GCL Tech and Drinda (see next page for details), mainly to reflect weaker-than-expected solar pricing in 1H26 and limited visibility on industry consolidation. Our **order of preference** is now LONGi (BC technology) > Drinda (space solar) > Xinyi Solar (solar glass margins nearing a trough) > GCL Tech (battery materials upside, polysilicon remains under pressure) > Tongwei (most exposed to polysilicon oversupply).

Previous editions of **DB China Solar Monthly S-D Monitor**: Jan-Feb 2025, March 2025, April 2025, May 2025, June 2025, July 2025, August 2025, September 2025, October 2025, November 2025, December 2025, January 2026, February 2026, March 2026, April 2026, May 2026, June 2026

Figure 5: China Solar Sector - valuation comparison

Company	BBG ticker	Market Cap (USD MN)	Rating	TP (LC)	Price (LC)	U/D	P/E (x) 2026E	P/E (x) 2027E	P/E (x) 2028E	P/B (x) 2026E	P/B (x) 2027E	P/B (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E	Div yield (%) 2026E	Div yield (%) 2027E	Div yield (%) 2028E
Solar manufacturers																		
LONGi	601012 CH	13,611	Buy	25.00	12.35	102%	n.m.	120.2	33.4	1.8	1.8	1.7	-5.0	1.5	5.2	0.0	0.1	0.4
Drinda	2865 HK	1,996	Buy	39.00	19.96	95%	n.m.	13.0	7.5	2.0	1.7	1.4	-18.5	14.4	20.9	0.0	0.0	0.0
Xinyi Solar	968 HK	2,344	Buy	3.60	2.10	71%	n.m.	16.2	9.7	0.6	0.6	0.6	-0.8	4.0	6.4	0.0	3.5	5.9
GCL Tech	3800 HK	2,692	Buy	1.10	0.67	64%	n.m.	24.2	8.4	0.5	0.5	0.5	-2.1	2.0	5.6	0.0	0.0	0.0
Tongwei	600438 CH	7,583	Sell	10.00	11.64	-14%	n.m.	n.m.	180.1	1.6	1.8	1.8	-18.8	-9.8	1.0	0.0	0.0	0.0

Source : Bloomberg Finance LP, Deutsche Bank estimates (prices as of 06 July, 2026)

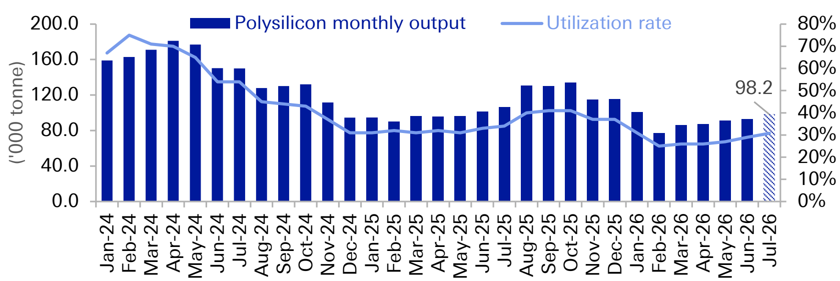
Summary of key earnings and TP revisions

- **Xinyi Solar (0968.HK):** Due to weaker-than-expected solar glass prices in 1H26 (down 25% YoY and 19% HoH), we lower our ASP assumptions for Xinyi Solar, now expecting the company to turn loss-making in FY26E, and cut FY27-28E EPS by 20-46%. Accordingly, we revise our DCF-based target price to HK$3.6 from HK$4.7. Our valuation is based on a DCF methodology, assuming a 9% WACC (10% cost of equity and 4% after-tax cost of debt) and a 1% terminal growth rate. That said, we believe the recent inflection in industry inventory days could signal an emerging near-term price recovery, as current solar glass prices are at historical lows and, in our estimates, imply cash losses across the industry. At 0.6x P/B, current valuation appears overly depressed, in our view, while any near-term ASP rebound could act as a short-term share price catalyst. Key risks include: 1) weaker-than-expected solar demand in China; 2) more intense-than-expected solar glass price competition; and 3) slower-than-expected progress in Xinyi Solar's overseas expansion.
- **GCL Technology (3800.HK)**: Given persistently depressed polysilicon prices YTD and the absence of a meaningful supply-side reform signal, we now forecast a wider net loss of Rmb0.9bn in 2026E and cut our 2027-28E EPS estimates by 19-48%, lowering our DCF-based target price to HK$1.1 from HK$1.4. Our valuation is based on a 10% WACC (11% cost of equity, 4% after-tax cost of debt) and a 1% terminal growth rate (consistent with our assumptions for other solar manufacturing companies). Despite near-term earnings pressure, we continue to view GCL as one of the best-positioned polysilicon producers over the longer term, supported by its cost advantage in granular silicon and the potential contribution from new businesses such as lithium iron phosphate materials. Key risks include weaker-than-expected global solar demand, a narrower-than-expected cost advantage versus conventional rod silicon, and continued uncertainty around industry consolidation and supply-side reform.
- **Drinda (2865.HK):** While we remain positive on Drinda's leading position in space-based solar, near-term earnings are likely to remain weighed on by weak terrestrial solar cell prices and margins. We now forecast a net loss of Rmb0.6bn in FY26E and cut our FY27-28E EPS estimates by 38-53%, lowering our DCF-based target price from HK$50.0 to HK$39.0 accordingly. We expect space-solar-related earnings to gradually ramp up and support a return to earnings growth from 2027 onwards. Our DCF valuation is based on a 2.0% risk-free rate, 5.0% equity risk premium, 1.0 beta, 5.0% pre-tax cost of debt, 7.0% WACC and 1.0% terminal growth rate. Key downside risks include weaker-than-expected solar cell prices amid intense competition, higher-than-expected silver paste costs, and slower-than-expected progress in the commercialization of space-based solar products.

Polysilicon: Inventory pressure to intensify

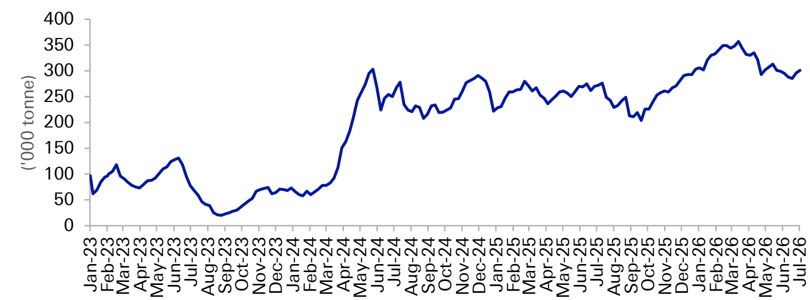
- **Monthly output:** According to SMM, despite currently depressed pricing, planned polysilicon output is expected to increase by 6% MoM to 98.2kt in July 2026. Our calculations suggest industry average utilization will rise to 31%, up 2ppt MoM.
- **Inventory**: Producer inventories have rebounded by 6% from their mid-June trough, lifting aggregate inventory levels (across polysilicon and wafer producers) by 5% to the equivalent of c.6 months of production. More importantly, we expect output to increase further in July-August as factories in hydro-rich regions such as Sichuan and Yunnan raise utilization rates amid seasonally lower power costs, likely adding to already elevated inventory levels.

Figure 6: Polysilicon industry monthly output and average capacity utilization rate



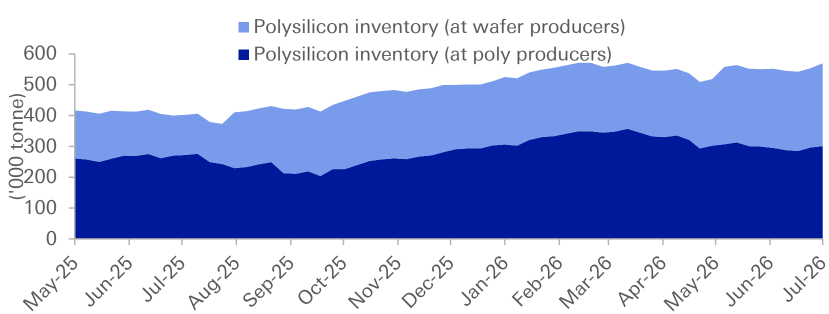
Source : SMM

Figure 7: Polysilicon industry inventory (at polysilicon producers)



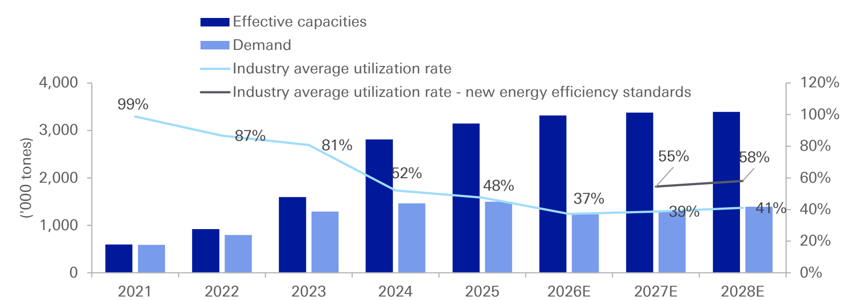
Source : SMM

Figure 8: Polysilicon industry total inventory (at both polysilicon producers and wafer companies)



Source : SMM

Figure 9: Polysilicon supply-demand analysis (DBe)

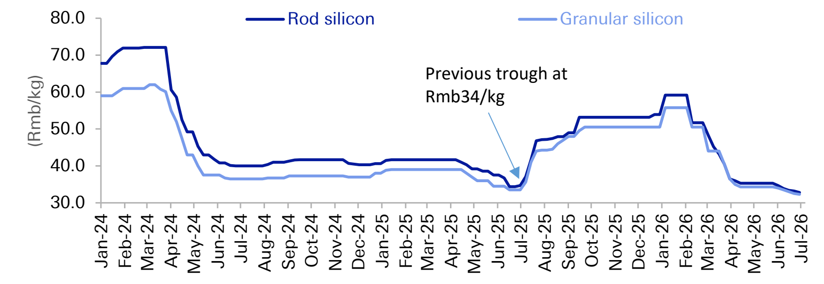


Source : Company data, Deutsche Bank estimates

Polysilicon: Spot price may undershoot

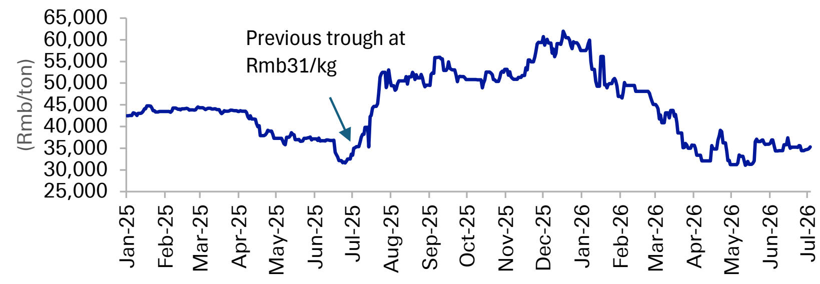
- **Pricing and margin outlook:** Entering July 2026, spot prices remain under pressure, with both rod and granular silicon down around 1% MTD after declining roughly 4% in June. Despite the release of new energy-efficiency standards, we believe near-term downside risks continue to outweigh upside, with polysilicon prices at risk of undershooting towards Rmb30/kg in 3Q26 before a seasonal recovery in 4Q26.
- China's long-awaited energy-consumption and energy-efficiency standards covering polysilicon, wafers and modules have now been finalised and will take effect on 1 January 2027. If effectively enforced, the new standards could eliminate close to one-third of existing polysilicon capacity and reduce effective industry capacity to around 2.4mtpa. However, we do not believe this alone would be sufficient to restore industry profitability, as weak end-demand remains the key challenge. We forecast polysilicon demand of 1.4mt in 2027E, implying industry utilisation is likely to remain below 60% even after the anticipated capacity rationalisation.

Figure 10: Polysilicon spot prices



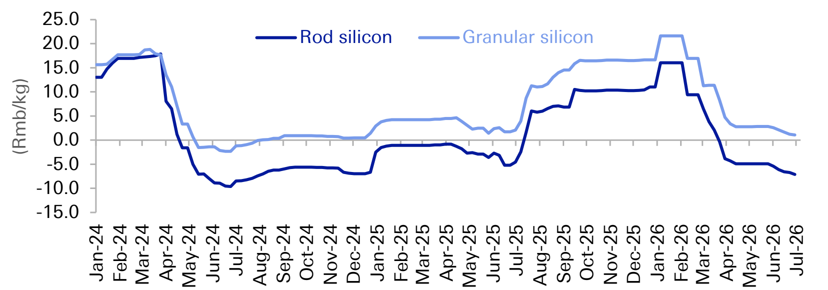
Source : China Silicon Association, PV InfoLink

Figure 11: Polysilicon futures price



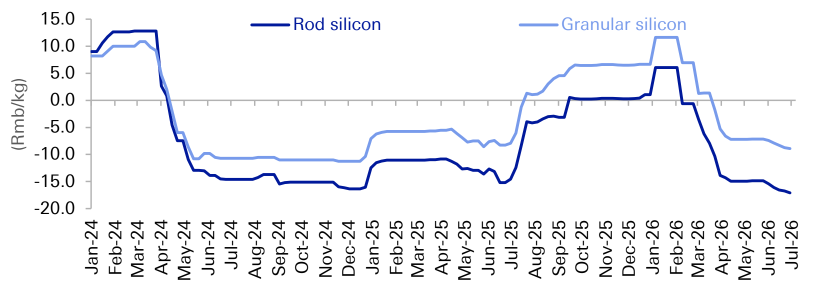
Source : Guangzhou Futures Exchange, WIND

Figure 12: Polysilicon unit all-in cash profit tracker



Source : Deutsche Bank estimates

Figure 13: Polysilicon unit net profit tracker

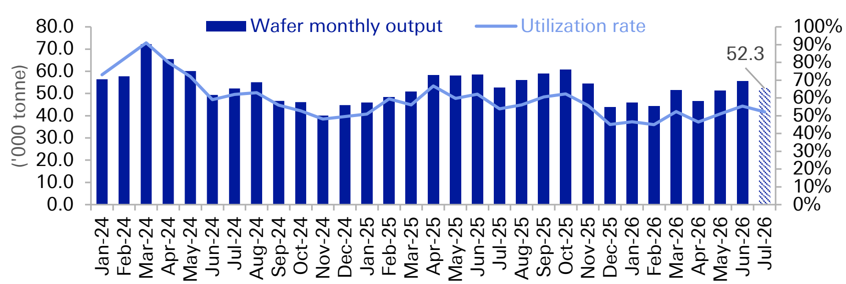


Source : Deutsche Bank estimates

Wafer: Modest output decline in July

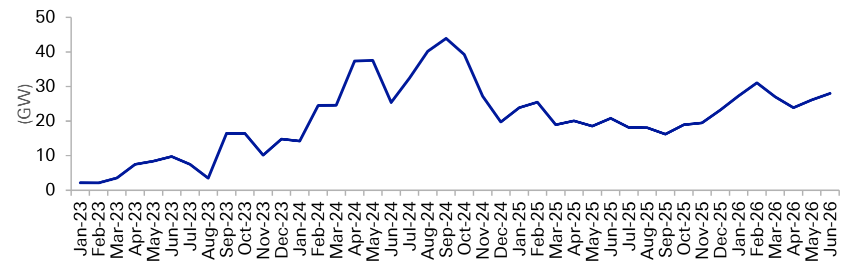
- **Monthly output:** According to SMM, the industry's planned wafer output is expected to decrease by 6% MoM to 52GW in July 2026. The industry's average capacity utilization is approximately 52%, according to our calculations.
- **Monthly inventory:** Wafer inventory increased by 7% MoM to 28GW as of late June 2026, compared with 26GW in late May.

Figure 14: Wafer monthly output and industry average capacity utilization rate



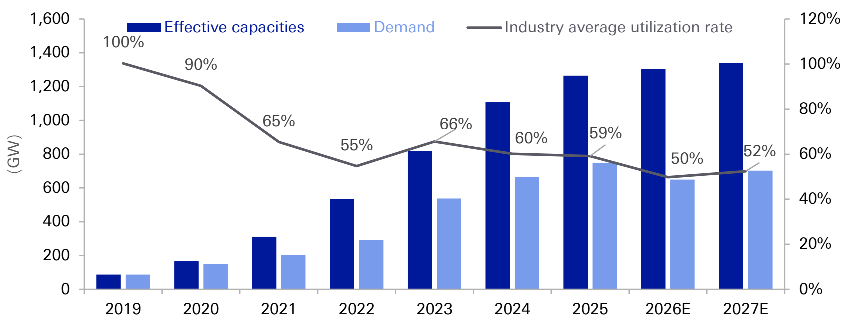
Source : SMM

Figure 15: Wafer monthly inventory



Source : SMM

Figure 16: Wafer annual supply-demand analysis (DBe)

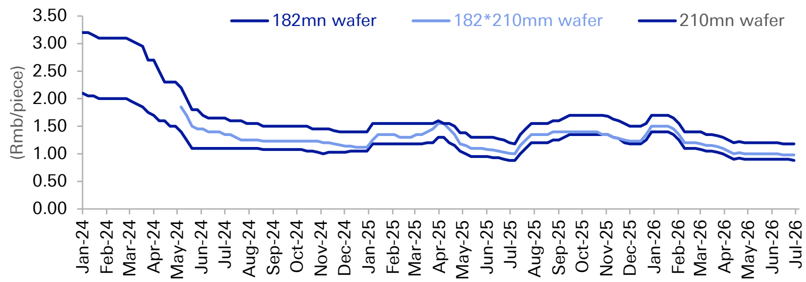


Source : Company data, Deutsche Bank estimates

Wafer: Profitability lingering at cash breakeven levels

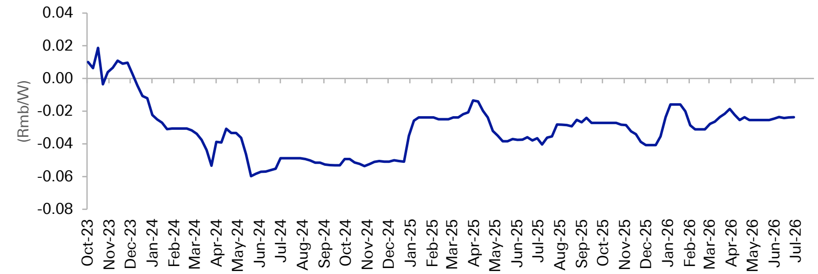
- **Pricing and margin outlook:** As of early July, wafer prices were down 0–2% from late June, with unit cash margins largely hovering around breakeven by our estimates. Demand conditions also remained relatively muted, limiting support for wafer pricing and profitability.

Figure 17: Wafer spot prices



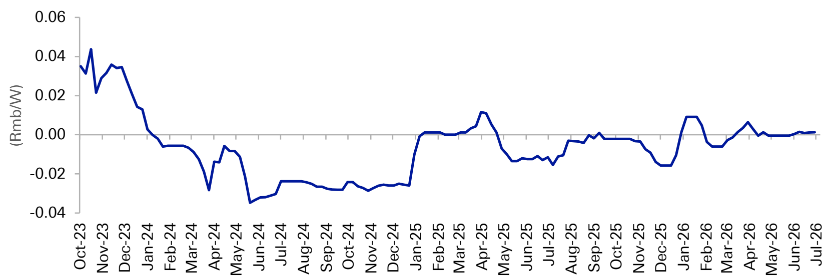
Source : PV InfoLink

Figure 18: Wafer unit net profit tracker



Source : Deutsche Bank estimates

Figure 19: Wafer unit all-in cash profit tracker

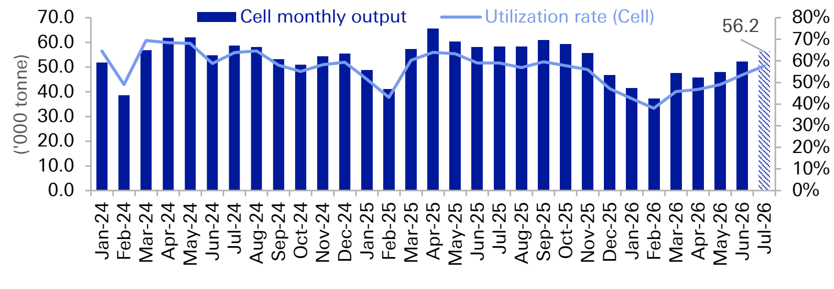


Source : Deutsche Bank estimates

Cell: Slightly higher output and inventory

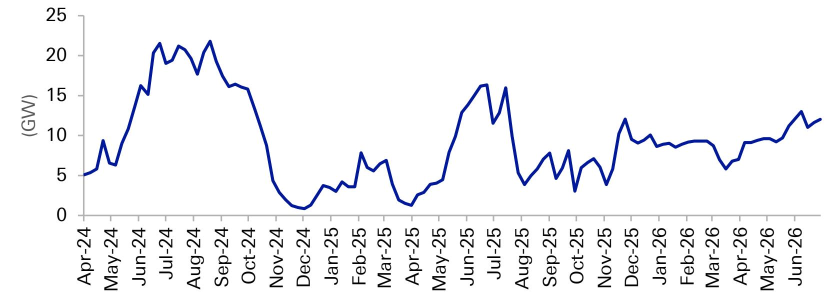
- **Monthly output:** According to SMM, planned cell production is expected to increase by 8% MoM to 56GW in July, driven by increased output from integrated solar module manufacturers. Based on our calculations, TOPCon cell utilization may reach ~58% in July.
- **Inventory:** According to SMM, cell inventory rose to 12.0GW as of late June, up from 11GW in late May 2026.

Figure 20: Cell monthly output and industry average capacity utilization rate



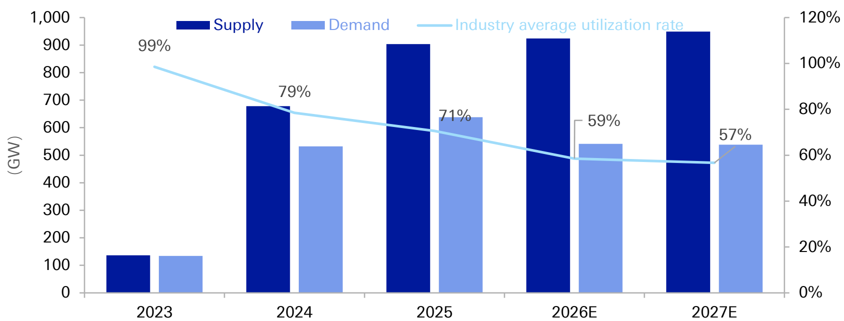
Source : SMM

Figure 21: Cell weekly industry inventory



Source : SMM

Figure 22: TOPCon cell annual supply-demand analysis (DBe)

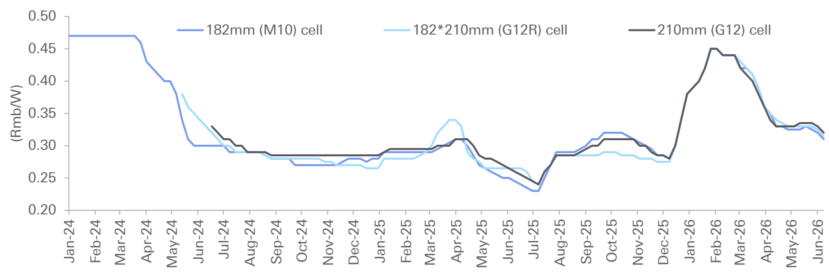


Source : Company data, Deutsche Bank estimates

Cell: Silver cost relief insufficient to offset price declines

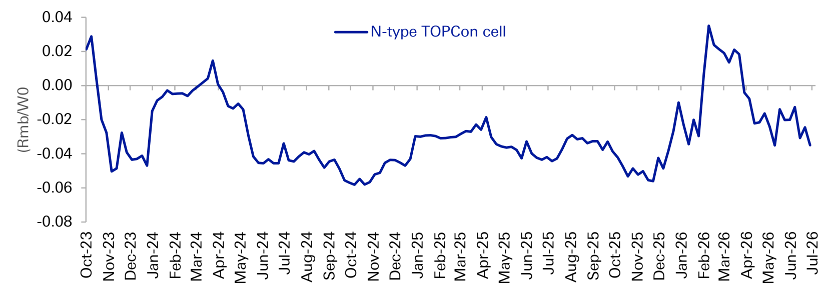
- **Pricing and margin outlook:** Cell prices fell sharply by 15–17% as of early July, as a result of inventory pressure and still relatively muted solar demand. On the positive side, silver paste costs eased to around 35% of cell production costs (vs. over 40% in May) following the recent correction in silver prices (~20% MoM drop in sliver paste price). Cash margins for cell producers turned slightly negative in early July 2026.

Figure 23: Cell spot prices



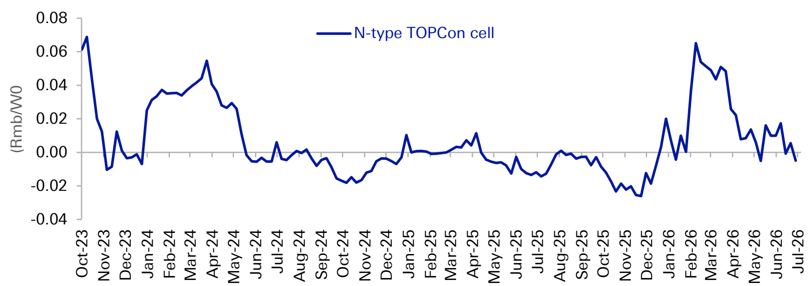
Source : PV InfoLink

Figure 24: Cell unit net profit trackers



Source : Deutsche Bank estimates

Figure 25: Cell unit all-in cash profit tracker

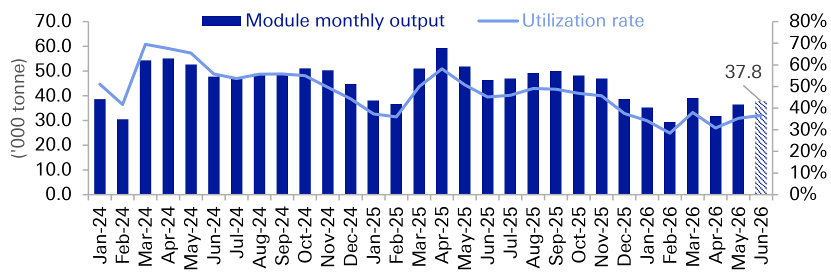


Source : Deutsche Bank estimates

Module: Mild demand recovery

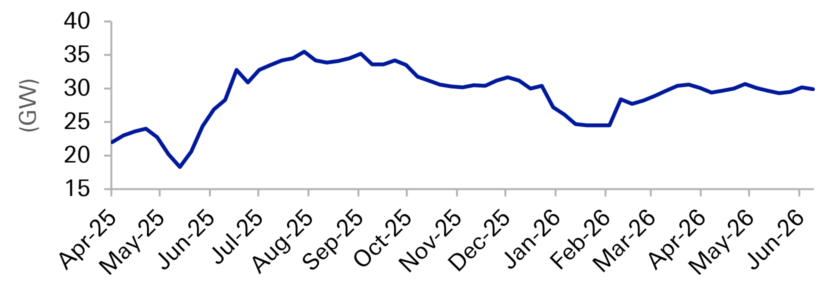
- **Monthly output:** According to SMM, the industry's planned module production output for July is 42GW, representing a 10% MoM increase. The industry's average capacity utilization is approximately 41%, according to our calculation.
- **Inventory**: Domestic module inventory was 29.9GW as of late June, broadly stable from 30.1GW in late May, according to SMM.

Figure 26: Module monthly output and industry average capacity utilization rate



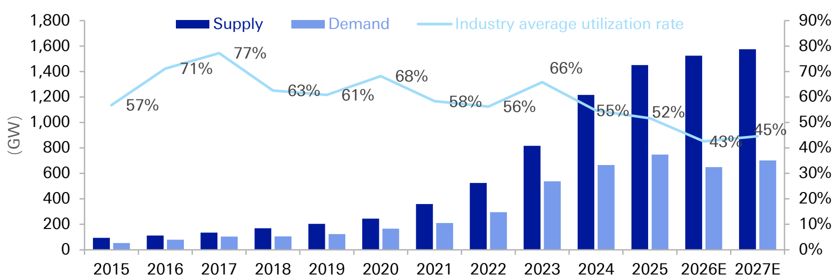
Source : SMM

Figure 27: China weekly module inventory



Source : SMM

Figure 28: Module annual supply-demand analysis (DBe)

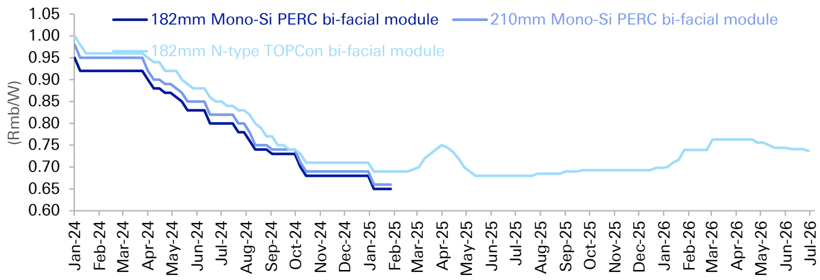


Source : Company data, Deutsche Bank estimates

Module: Positive margin while pricing pressure remains

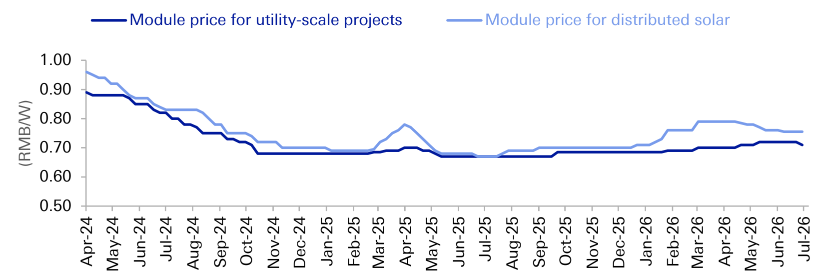
- **Pricing and margin outlook:** As of early July, module prices dipped slightly by ~1% versus early June. While module prices have remained relatively resilient at around Rmb0.71/W, recent domestic tender bids reported by SMM at close to Rmb0.68/W suggest further downside price risk. According to SMM, the pricing pressure is likely due to aggressive inventory clearance of low-efficiency modules. That said, helped by lower upstream costs, module margins remained positive, and we see module producers better positioned along the value chain in the near term.

Figure 29: Module spot prices



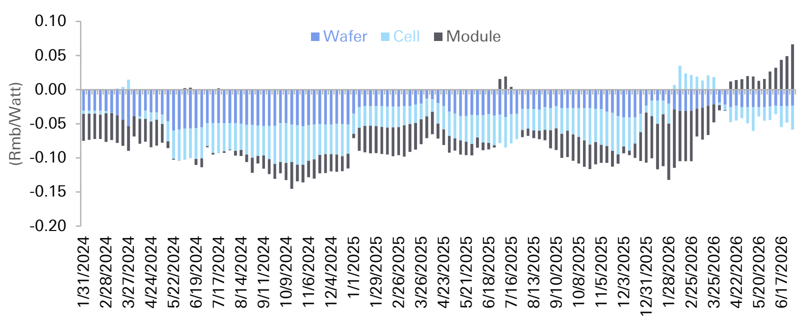
Source : PV InfoLink

Figure 30: Module prices for utility-scale and distributed solar



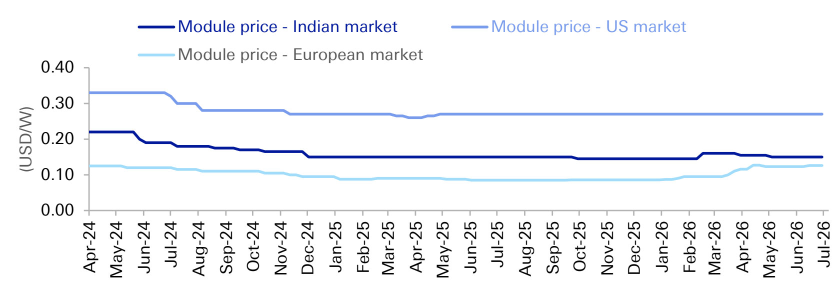
Source : PV InfoLink

Figure 31: Unit net profit/loss for integrated module



Source : PV InfoLink, Deutsche Bank estimates

Figure 32: Overseas module spot prices

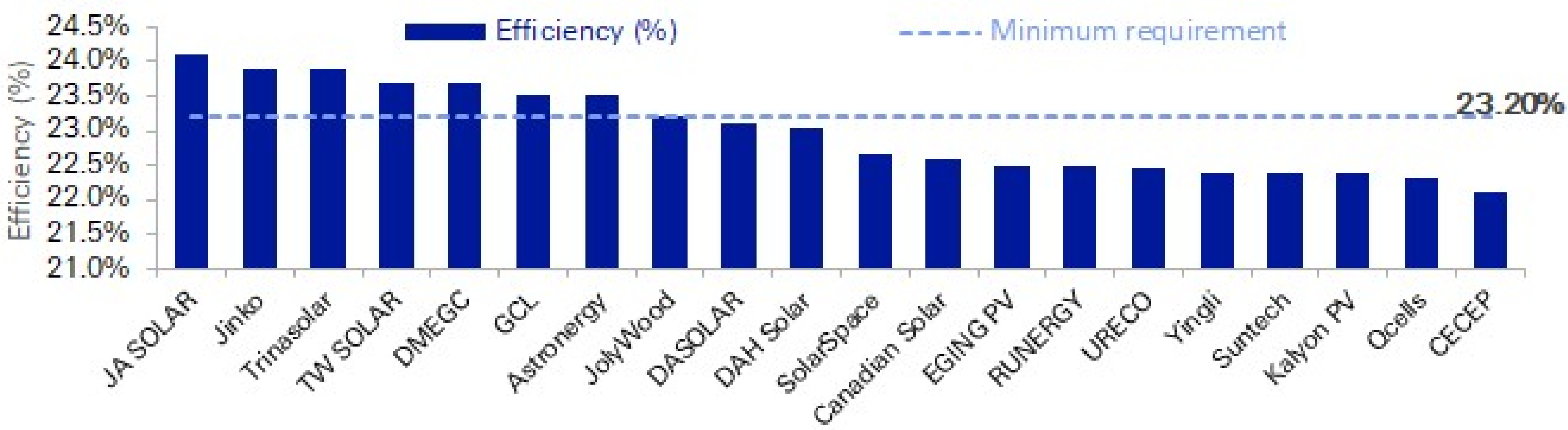


Source : PV InfoLink

Module: New efficiency standards to phase out obsolete capacity

- We view the new module efficiency standards as a potentially more meaningful catalyst for the downstream cell and module segments, particularly for technology leaders such as LONGi (BC cells/modules) and Drinda (TOPCon cells). Based on mainstream module product data compiled by TaiyangNews as of June 2026, only 8 of 20 commercially available TOPCon products currently meet the new requirements. In our view, the standards should favour higher-efficiency and larger-scale manufacturers, while potentially accelerating industry consolidation.

Figure 33: TOPCon – Highest efficient commercial solar modules (June 2026)

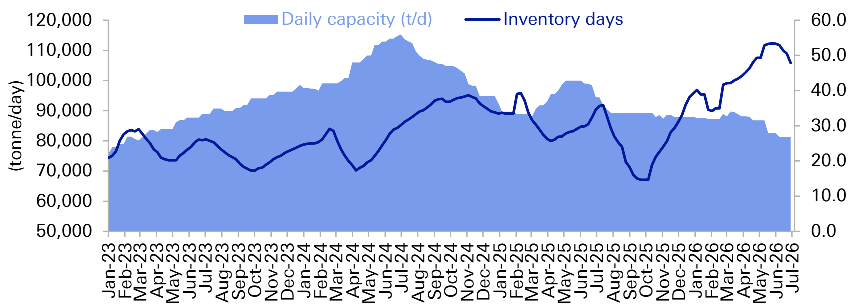


Source : Taiyang News

Solar glass: Inventory at an inflection point

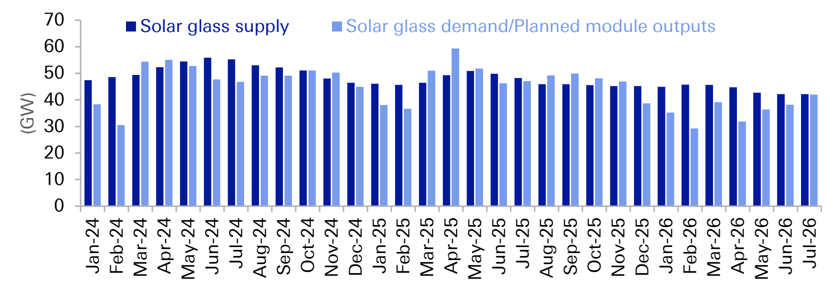
- **Weekly capacity:** According to SCI99, solar-glass industry operating capacities were 81 kilotonnes per day as of early July, a 1% MoM decrease compared to early June. Based on our calculations, capacities under maintenance and idle capacities totaled 53 kilotonnes, representing 40% of domestic total capacities.
- **Inventory:** According to SCI99, industry inventory stood at 48 days as of early July, down ~10% MoM from early June.

Figure 34: Solar glass - industry operating capacity and inventory days



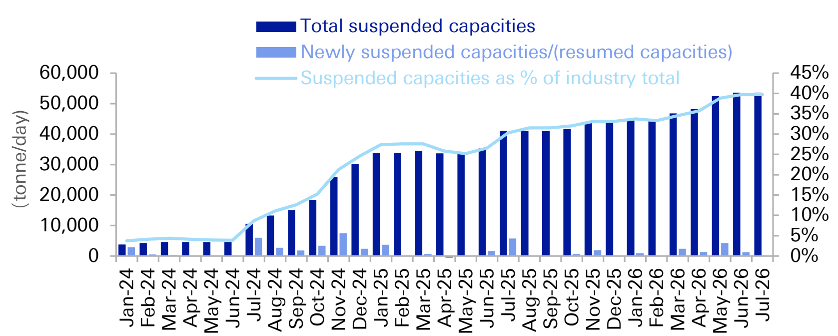
Source : SCI99

Figure 35: Solar glass - monthly supply-demand analysis (DBe)



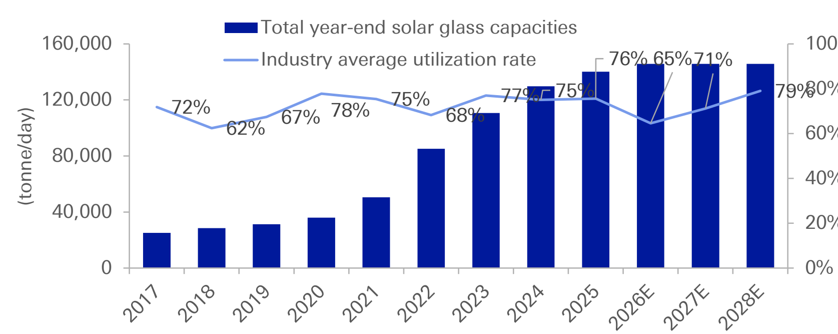
Source : SCI99, Deutsche Bank estimates

Figure 36: Solar glass - capacities suspended for maintenance



Source : SCI99

Figure 37: Solar glass - annual capacities and utilization trend

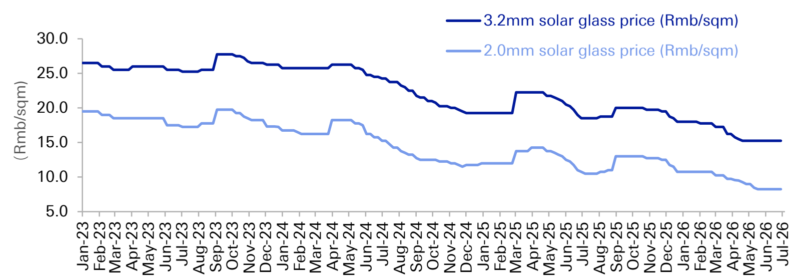


Source : SCI99, Deutsche Bank estimates

Solar glass: Prices and margins may be bottoming out

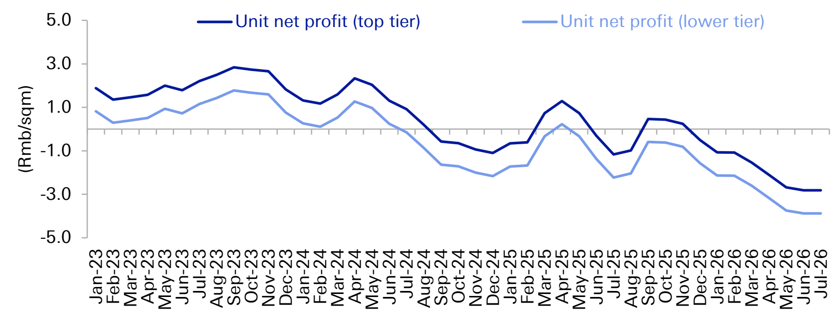
- **Pricing and margin outlook:** Solar glass prices for both 2.0mm/3.2mm products remained stable in early July. We estimate that cash margins remain negative for both top-tier and lower-tier producers alike. According to SCI99, some solar glass producers are seeking to raise 2.0mm solar glass prices to Rmb8.5–9.0/sqm (c.6% higher), although resistance from downstream module manufacturers remains.

Figure 38: Solar glass spot prices



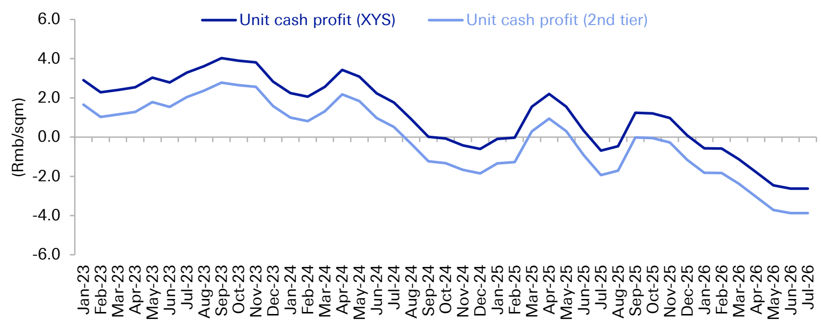
Source : SCI99

Figure 39: Solar glass unit net profit tracker



Source : SCI99, Deutsche Bank estimates

Figure 40: Solar glass unit all-in cash profit tracker

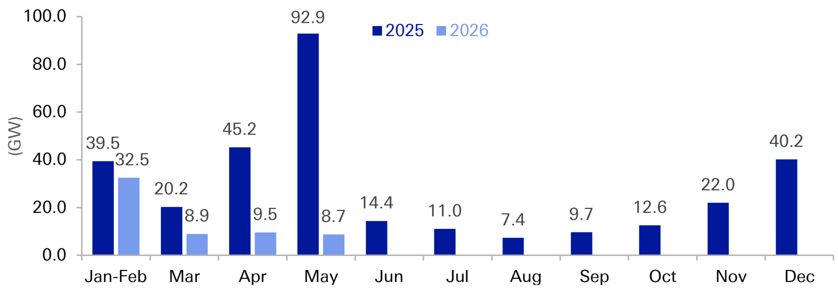


Source : SCI99, Deutsche Bank estimates

Solar demand stayed muted

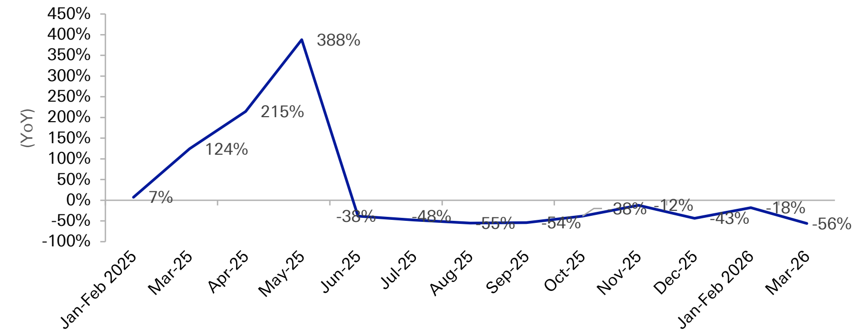
- In May 2026, China's new solar power capacity installation was 8.7GW, down 91% YoY. We estimate 215GW China demand for 2026, suggesting a 32% YoY decline. The China Photovoltaic Industry Association (CPIA) estimates China's 2026 solar installation demand at 180-240 GW.

Figure 41: China monthly solar installations



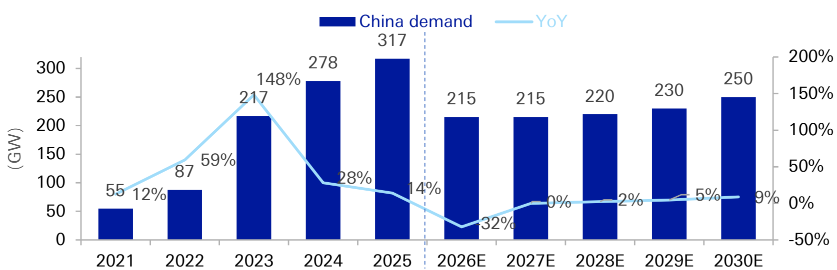
Source : National Energy Administration

Figure 42: China monthly solar installations (YoY)



Source : National Energy Administration

Figure 43: DB China annual solar demand forecasts



Source : National Energy Administration, Deutsche Bank estimates

Valuation

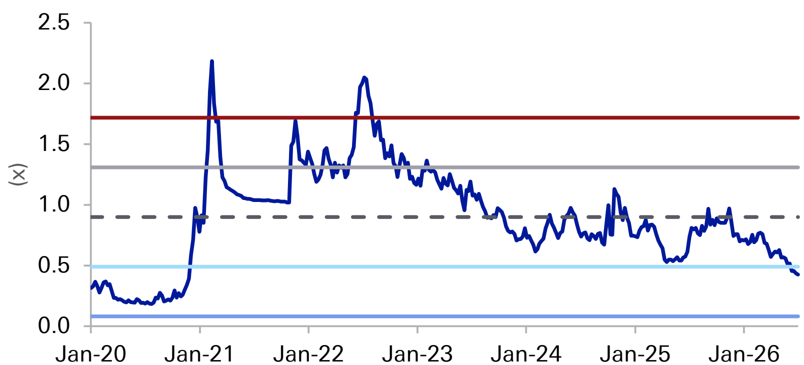
- We cut earnings forecasts and target prices for Xinyi Solar, GCL Tech and Drinda (see next page for details), mainly to reflect weaker-than-expected solar pricing in 1H26 and limited visibility on industry consolidation. Our **order of preference** is now LONGi (BC technology) > Drinda (space solar) > Xinyi Solar (solar glass margins nearing a trough) > GCL Tech (battery materials upside, polysilicon remains under pressure) > Tongwei (most exposed to polysilicon oversupply).

Figure 44: China Solar Sector - valuation comparison

Company	BBG ticker	Market Cap (USD MN)	Rating	TP (LC)	Price (LC)	U/D	P/E (x) 2026E	P/E (x) 2027E	P/E (x) 2028E	P/B (x) 2026E	P/B (x) 2027E	P/B (x) 2028E	ROE (%) 2026E	ROE (%) 2027E	ROE (%) 2028E	Div yield (%) 2026E	Div yield (%) 2027E	Div yield (%) 2028E
Solar manufacturers																		
LONGi	601012 CH	13,611	Buy	25.00	12.35	102%	n.m.	120.2	33.4	1.8	1.8	1.7	-5.0	1.5	5.2	0.0	0.1	0.4
Drinda	2865 HK	1,996	Buy	39.00	19.96	95%	n.m.	13.0	7.5	2.0	1.7	1.4	-18.5	14.4	20.9	0.0	0.0	0.0
Xinyi Solar	968 HK	2,344	Buy	3.60	2.10	71%	n.m.	16.2	9.7	0.6	0.6	0.6	-0.8	4.0	6.4	0.0	3.5	5.9
GCL Tech	3800 HK	2,692	Buy	1.10	0.67	64%	n.m.	24.2	8.4	0.5	0.5	0.5	-2.1	2.0	5.6	0.0	0.0	0.0
Tongwei	600438 CH	7,583	Sell	10.00	11.64	-14%	n.m.	n.m.	180.1	1.6	1.8	1.8	-18.8	-9.8	1.0	0.0	0.0	0.0

Source : Bloomberg Finance LP, Deutsche Bank estimates (prices as of 06 July, 2026)

Figure 45: GCL Technology – one-year forward P/B bands



Source : Company data, Deutsche Bank estimates

Figure 46: Xinyi Solar – one-year forward P/B bands

Source : Company data, Deutsche Bank estimates

Figure 47: LONGi – one-year forward P/B bands

Source : Company data, Deutsche Bank estimates

Figure 48: Tongwei – one-year forward P/B bands

Source : Company data, Deutsche Bank estimate

Model updated: 07 July 2026

Running the numbers

Asia

China

Alternative Energy

Drinda

Reuters: 2865.HK   Bloomberg: 2865 HK

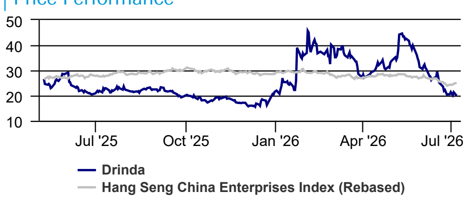
Buy

Price (6 Jul 26)	HKD 19.96
Target Price	HKD 39.00
52 Week range	HKD 15.57 - 45.70
Market cap (m)	HKDm 5,362.3 USDm 683.7

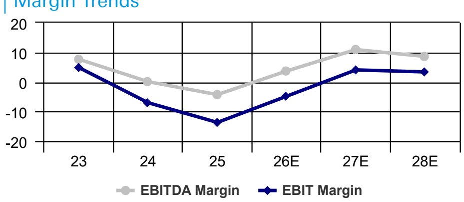
Company Profile

Hainan Drinda New Energy Technology Co., Ltd develops and manufactures PV cells and related components.

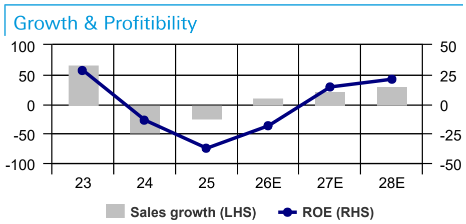
Price Performance



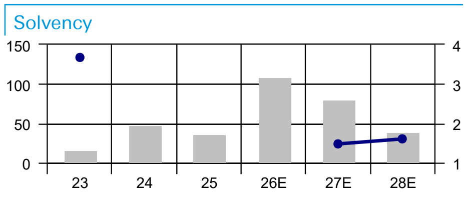
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (CNY)	3.71	-2.60	-5.27	-2.03	1.53	2.67
Reported EPS (CNY)	3.71	-2.60	-5.27	-2.03	1.53	2.67
DPS (CNY)	0.75	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	20.8	17.1	13.6	10.0	11.4	14.1
Weighted average shares (m)	216	227	269	306	310	310
Average market cap (CNYm)	na	na	5,206	4,643	4,643	4,643
Enterprise value (CNYm)	na	na	5,884	7,365	6,844	5,723
Valuation Metrics						
P/E (DB) (x)	na	nm	nm	nm	11.3	6.5
P/E (Reported) (x)	na	nm	nm	nm	11.3	6.5
P/BV (x)	0.00	0.00	1.46	1.73	1.51	1.23
FCF Yield (%)	na	na	nm	nm	9.7	20.9
Dividend Yield (%)	na	na	0.0	0.0	0.0	0.0
EV/Sales (x)	nm	nm	0.8	0.9	0.7	0.4
EV/EBITDA (x)	nm	nm	nm	23.7	6.1	5.0
EV/EBIT (x)	nm	nm	nm	nm	16.4	12.6
Income Statement (CNYm)						
Sales revenue	18,611	9,924	7,598	8,433	10,271	13,402
Gross profit	1,696	-85	-517	42	938	1,078
EBITDA	1,425	8	-326	311	1,123	1,153
Depreciation	523	705	715	719	706	700
Amortisation	0	0	0	0	0	0
EBIT	902	-698	-1,041	-408	417	453
Net interest income(expense)	-246	-221	-273	-282	-282	-282
Associates/affiliates	0	0	0	0	0	0
Exceptionals/extraordinaries	-6	17	-164	-38	241	538
Other pre-tax income/(expense)	94	170	107	128	83	91
Profit before tax	744	-731	-1,370	-600	459	800
Income tax expense	-71	-140	45	20	-15	-27
Minorities	0	0	0	0	0	0
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	816	-591	-1,416	-620	474	827
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	816	-591	-1,416	-620	474	827
Cash Flow (CNYm)						
Cash flow from operations	475	781	-554	-1,767	1,161	1,702
Net Capex	-2,592	-605	-450	-400	-640	-582
Free cash flow	-2,117	176	-1,004	-2,167	521	1,120
Equity raised/(bought back)	2,738	0	1,289	374	0	0
Dividends paid	-85	-170	0	0	0	0
Net inc/(dec) in borrowings	850	1,201	383	0	0	-1,500
Other investing/financing cash flows	19	-1,241	-542	0	0	0
Net cash flow	1,406	-34	126	-1,794	521	-380
Change in working capital	-2,032	594	147	-1,866	-19	176
Balance Sheet (CNYm)						
Cash and other liquid assets	3,608	3,536	4,454	2,410	2,931	2,551
Tangible fixed assets	9,352	8,483	7,504	10,251	10,184	10,067
Goodwill/intangible assets	932	1,016	927	927	927	927
Associates/investments	0	430	630	630	630	630
Other assets	4,034	2,980	2,888	2,488	2,700	3,139
Total assets	17,926	16,444	16,402	16,705	17,373	17,314
Interest bearing debt	4,331	5,378	5,761	5,761	5,761	4,261
Other liabilities	8,886	7,179	6,982	4,715	4,909	5,523
Total liabilities	13,217	12,557	12,743	10,476	10,670	9,784
Shareholders' equity	4,709	3,887	3,660	3,059	3,533	4,359
Minorities	0	0	0	0	0	0
Total shareholders' equity	4,709	3,887	3,660	3,059	3,533	4,359
Net debt	723	1,842	1,307	3,351	2,830	1,710
Key Company Metrics						
Sales growth (%)	67.9	-46.7	-23.4	11.0	21.8	30.5
DB EPS growth (%)	1.5	na	-102.5	61.6	na	74.4
EBITDA Margin (%)	7.7	0.1	-4.3	3.7	10.9	8.6
EBIT Margin (%)	4.8	-7.0	-13.7	-4.8	4.1	3.4
Payout ratio (%)	19.8	nm	nm	nm	0.0	0.0
ROE (%)	28.3	-13.8	-37.5	-18.5	14.4	20.9
Capex/sales (%)	13.9	6.1	5.9	4.7	6.2	4.3
Capex/depreciation (x)	5.0	0.9	0.6	0.6	0.9	0.8
Net debt/equity (%)	15.4	47.4	35.7	109.6	80.1	39.2
Net interest cover (x)	3.7	nm	nm	nm	1.5	1.6

Source: Company data, Deutsche Bank estimates

Model updated: 07 July 2026

Running the numbers

Asia

China

Alternative Energy

Xinyi Solar

Reuters: 0968.HK Bloomberg: 968 HK

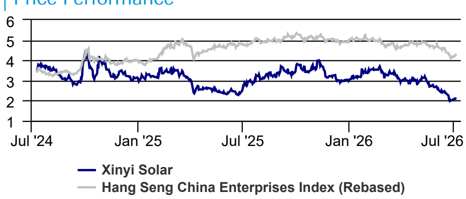
Buy

Price (6 Jul 26)	HKD 2.10
Target Price	HKD 3.60
52 Week range	HKD 2.00 - 4.00
Market cap (m)	HKDm 18,783 USDm 2,395.0

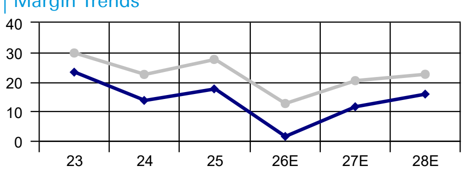
Company Profile

Xinyi Solar Holdings Limited manufactures solar glass and operators solar farms.

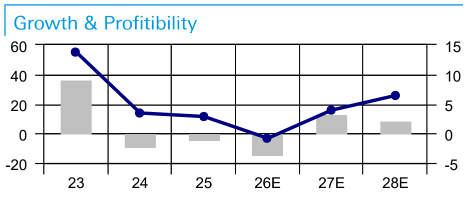
Price Performance



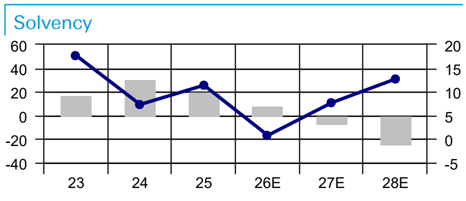
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (CNY)	0.43	0.11	0.09	-0.03	0.13	0.22
Reported EPS (CNY)	0.43	0.11	0.09	-0.03	0.13	0.22
DPS (CNY)	0.23	0.10	0.05	0.00	0.07	0.12
BVPS (CNY)	3.3	3.2	3.3	3.3	3.3	3.4
Weighted average shares (m)	8,902	8,944	9,094	9,094	9,094	9,094
Average market cap (CNYm)	59,429	34,258	26,108	16,265	16,265	16,265
Enterprise value (CNYm)	70,512	50,038	37,472	23,470	18,487	12,187
Valuation Metrics						
P/E (DB) (x)	15.5	34.0	30.9	nm	14.0	8.4
P/E (Reported) (x)	15.5	34.0	30.9	nm	14.0	8.4
P/BV (x)	1.26	0.89	0.83	0.56	0.55	0.53
FCF Yield (%)	nm	nm	10.6	3.2	13.9	25.4
Dividend Yield (%)	3.4	2.6	1.7	0.0	4.1	6.8
EV/Sales (x)	2.9	2.3	1.8	1.3	0.9	0.6
EV/EBITDA (x)	9.8	10.2	6.5	10.5	4.5	2.5
EV/EBIT (x)	12.6	16.7	10.2	90.5	8.0	3.5
Income Statement (CNYm)						
Sales revenue	24,164	21,921	20,861	17,762	20,158	21,888
Gross profit	6,466	3,866	4,461	897	3,042	4,233
EBITDA	7,184	4,926	5,748	2,240	4,103	4,929
Depreciation	1,570	1,932	2,084	1,981	1,780	1,470
Amortisation	0	0	0	0	0	0
EBIT	5,614	2,994	3,665	259	2,324	3,459
Net interest income(expense)	-318	-409	-321	-332	-302	-272
Associates/affiliates	26	17	14	14	14	14
Exceptionals/extraordinaries	-217	-667	-2,206	-300	-300	-300
Other pre-tax income/(expense)	0	0	0	0	0	0
Profit before tax	5,105	1,935	1,152	-358	1,736	2,902
Income tax expense	797	526	492	-56	258	433
Minorities	465	401	-185	-60	296	494
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	3,843	1,008	845	-242	1,182	1,975
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	3,843	1,008	845	-242	1,182	1,975
Cash Flow (CNYm)						
Cash flow from operations	5,305	1,235	5,304	3,037	2,801	4,200
Net Capex	-9,082	-4,705	-2,531	-2,500	-504	0
Free cash flow	-3,777	-3,470	2,773	537	2,297	4,200
Equity raised/(bought back)	1	16	6	0	0	0
Dividends paid	-1,530	-1,849	-828	-415	0	-579
Net inc/(dec) in borrowings	2,385	2,067	528	-1,000	-1,000	-1,000
Other investing/financing cash flows	-86	2,276	1,705	3,961	2,967	3,158
Net cash flow	-3,007	-961	4,185	3,084	4,264	5,779
Change in working capital	1,590	-2,281	370	1,073	-742	-24
Balance Sheet (CNYm)						
Cash and other liquid assets	3,534	973	5,157	8,241	12,505	18,285
Tangible fixed assets	33,311	36,168	32,769	29,441	24,319	19,002
Goodwill/intangible assets	28	29	26	26	26	26
Associates/investments	314	244	752	766	780	795
Other assets	17,885	19,518	18,212	17,097	18,024	18,304
Total assets	55,072	56,932	56,916	55,572	55,655	56,412
Interest bearing debt	9,573	11,640	12,168	11,168	10,168	9,168
Other liabilities	11,003	10,885	9,811	9,769	9,954	10,210
Total liabilities	20,577	22,525	21,980	20,937	20,122	19,378
Shareholders' equity	29,138	29,052	29,832	29,590	30,193	31,200
Minorities	5,357	5,356	5,105	5,044	5,340	5,833
Total shareholders' equity	34,495	34,408	34,936	34,634	35,533	37,034
Net debt	6,039	10,668	7,011	2,927	-2,337	-9,116
Key Company Metrics						
Sales growth (%)	36.8	-9.3	-4.8	-14.9	13.5	8.6
DB EPS growth (%)	17.1	-73.9	-17.6	na	na	67.0
EBITDA Margin (%)	29.7	22.5	27.6	12.6	20.4	22.5
EBIT Margin (%)	23.2	13.7	17.6	1.5	11.5	15.8
Payout ratio (%)	52.1	88.7	53.8	nm	57.0	57.0
ROE (%)	13.8	3.5	2.9	-0.8	4.0	6.4
Capex/sales (%)	37.6	21.5	12.1	14.1	2.5	0.0
Capex/depreciation (x)	5.8	2.4	1.2	1.3	0.3	0.0
Net debt/equity (%)	17.5	31.0	20.1	8.5	-6.6	-24.6
Net interest cover (x)	17.7	7.3	11.4	0.8	7.7	12.7

Source: Company data, Deutsche Bank estimates

Model updated: 07 July 2026

Running the numbers

Asia

China

Alternative Energy

GCL Technology

Reuters: 3800.HK | Bloomberg: 3800 HK

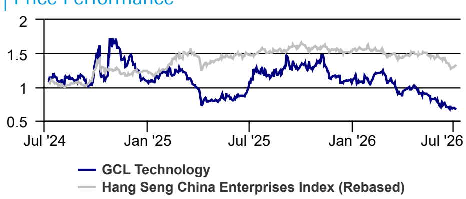
Buy

Price (6 Jul 26)	HKD 0.67
Target Price	HKD 1.10
52 Week range	HKD 0.67 - 1.47
Market cap (m)	HKDm 19,292 USDm 2,459.9

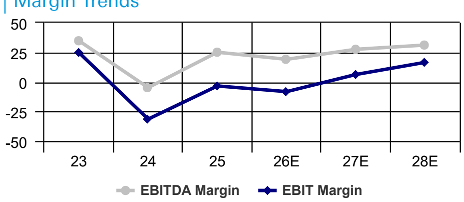
Company Profile

GCL Technology Holdings Limited is a market leader in the solar-grade polysilicon industry, and specialized in the manufacturing of granular silicon.

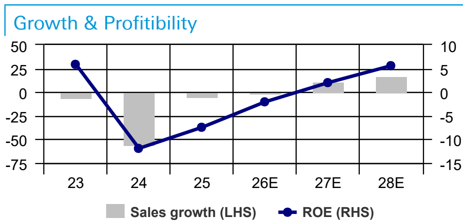
Price Performance



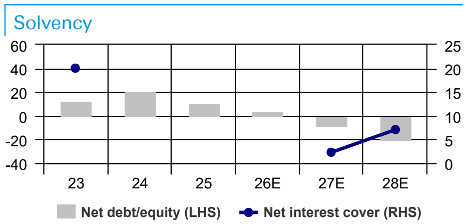
Margin Trends



Growth & Profitibility



Solvency



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Fiscal year end 31-Dec	2023	2024	2025	2026E	2027E	2028E
Financial Summary						
DB EPS (CNY)	0.09	-0.18	-0.10	-0.03	0.03	0.08
Reported EPS (CNY)	0.09	-0.18	-0.10	-0.03	0.03	0.08
DPS (CNY)	0.00	0.00	0.00	0.00	0.00	0.00
BVPS (CNY)	1.6	1.4	1.4	1.4	1.4	1.5
Weighted average shares (m)	26,514	26,440	28,794	28,794	28,794	28,794
Average market cap (CNYm)	38,834	29,794	29,787	16,706	16,706	16,706
Enterprise value (CNYm)	44,752	38,300	34,492	17,852	12,188	6,942
Valuation Metrics						
P/E (DB) (x)	15.5	nm	nm	nm	21.0	7.3
P/E (Reported) (x)	15.5	nm	nm	nm	21.0	7.3
P/BV (x)	0.70	0.71	0.71	0.43	0.42	0.40
FCF Yield (%)	nm	nm	nm	nm	nm	nm
Dividend Yield (%)	0.0	0.0	0.0	0.0	0.0	0.0
EV/Sales (x)	1.3	2.5	2.4	1.3	0.8	0.4
EV/EBITDA (x)	3.8	nm	9.5	6.6	2.8	1.2
EV/EBIT (x)	5.3	nm	nm	nm	12.3	2.2
Income Statement (CNYm)						
Sales revenue	33,700	15,098	14,425	14,204	15,846	18,648
Gross profit	11,692	-2,510	1,336	753	2,871	5,078
EBITDA	11,727	-730	3,620	2,713	4,367	5,808
Depreciation	3,349	4,017	4,112	3,878	3,374	2,723
Amortisation	0	0	0	0	0	0
EBIT	8,378	-4,747	-493	-1,165	993	3,085
Net interest income(expense)	-418	-618	-467	-437	-437	-437
Associates/affiliates	191	-1,254	-207	-85	196	445
Exceptionals/extraordinaries	-3,849	427	-1,530	0	0	0
Other pre-tax income/(expense)	0	0	0	0	0	0
Profit before tax	4,302	-6,193	-2,696	-1,687	752	3,094
Income tax expense	975	-545	227	-253	113	464
Minorities	817	-898	-55	-624	-157	329
Other post-tax income/(expense)	0	0	0	0	0	0
Net profit	2,510	-4,750	-2,868	-810	797	2,301
DB adjustments (including dilution)	0	0	0	0	0	0
DB Net profit	2,510	-4,750	-2,868	-810	797	2,301
Cash Flow (CNYm)						
Cash flow from operations	-3,848	-3,304	-3,543	-3,887	-3,274	-1,536
Net Capex	-10,850	-1,400	-4,200	-3,680	-2,000	-3,920
Free cash flow	-14,698	-4,704	-7,743	-7,567	-5,274	-5,456
Equity raised/(bought back)	-16	-2	577	0	0	0
Dividends paid	-1,423	0	0	0	0	0
Net inc/(dec) in borrowings	2,041	3,721	-578	0	0	0
Other investing/financing cash flows	15,538	-3,050	9,372	8,117	8,398	8,648
Net cash flow	1,442	-4,034	1,628	551	3,124	3,192
Change in working capital	-6,232	4,251	282	336	-340	309
Balance Sheet (CNYm)						
Cash and other liquid assets	9,143	9,876	13,887	16,821	22,328	27,904
Tangible fixed assets	34,784	34,761	31,015	26,983	21,775	19,138
Goodwill/intangible assets	116	63	65	65	65	65
Associates/investments	5,936	5,722	3,369	3,369	3,369	3,369
Other assets	32,789	24,452	27,547	27,405	27,430	27,699
Total assets	82,768	74,874	75,883	74,642	74,967	78,175
Interest bearing debt	15,267	18,988	18,411	18,411	18,411	18,411
Other liabilities	19,183	13,593	14,056	14,249	13,935	14,512
Total liabilities	34,450	32,581	32,466	32,660	32,345	32,923
Shareholders' equity	42,587	37,177	39,867	39,057	39,854	42,154
Minorities	5,731	5,116	3,550	2,925	2,768	3,098
Total shareholders' equity	48,318	42,293	43,416	41,982	42,622	45,252
Net debt	6,124	9,112	4,524	1,590	-3,917	-9,493
Key Company Metrics						
Sales growth (%)	-6.2	-55.2	-4.5	-1.5	11.6	17.7
DB EPS growth (%)	-84.2	na	44.6	71.8	na	188.7
EBITDA Margin (%)	34.8	-4.8	25.1	19.1	27.6	31.1
EBIT Margin (%)	24.9	-31.4	-3.4	-8.2	6.3	16.5
Payout ratio (%)	0.0	nm	nm	nm	0.0	0.0
ROE (%)	5.9	-11.9	-7.4	-2.1	2.0	5.6
Capex/sales (%)	32.2	9.3	29.1	25.9	12.6	21.0
Capex/depreciation (x)	3.2	0.3	1.0	0.9	0.6	1.4
Net debt/equity (%)	12.7	21.5	10.4	3.8	-9.2	-21.0
Net interest cover (x)	20.1	nm	nm	nm	2.3	7.1

Source: Company data, Deutsche Bank estimates

Appendix 1

Important Disclosures

*Other information available upon request

Disclosure checklist

Company	Ticker	Recent price*	Disclosure
Drinda	2865.HK	19.96 (HKD) 06 Jul 2026	1, 7, 24, 26
GCL Technology	3800.HK	0.67 (HKD) 06 Jul 2026	8
LONGi Green Energy Technology	601012.SS	12.35 (CNY) 06 Jul 2026	2, 8, 14, 15, 24
Tongwei	600438.SS	11.64 (CNY) 06 Jul 2026	2, 14, 24
Xinyi Solar	0968.HK	2.1 (HKD) 06 Jul 2026	14, 24

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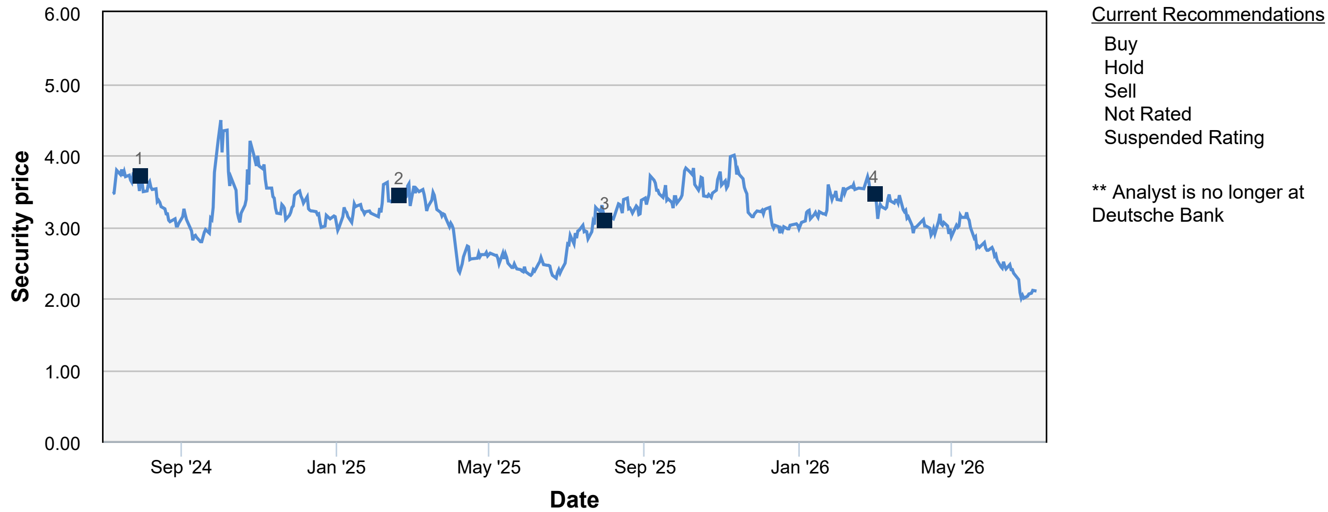
Historical recommendations and target price: Xinyi Solar (0968.HK)

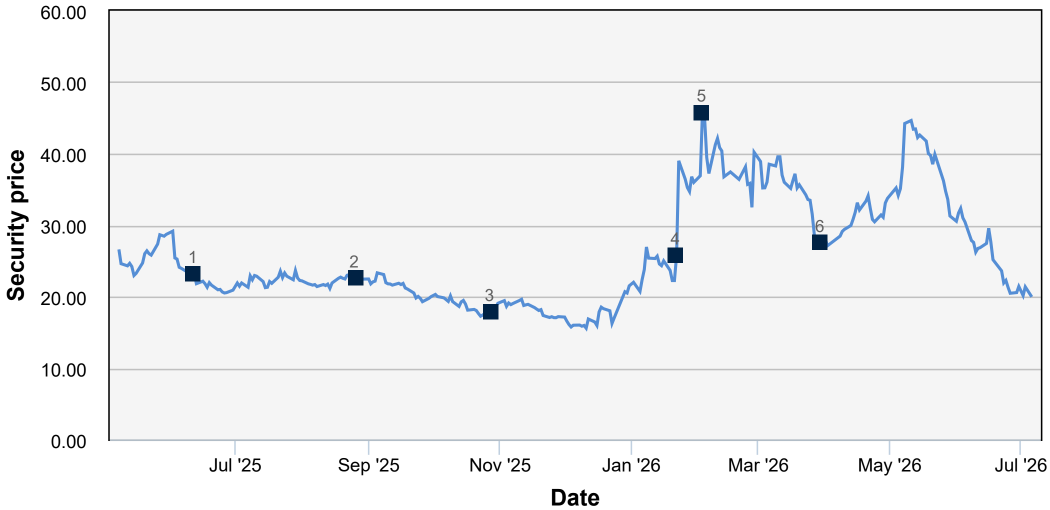
(as of 07/06/2026)



1.	07/31/2024	Buy, Target Price Change HKD 6.50, Current Price HKD 3.71 Gary Zhou, CFA
2.	02/20/2025	Buy, Target Price Change HKD 6.30, Current Price HKD 3.44 Gary Zhou, CFA
3.	08/01/2025	Buy, Target Price Change HKD 5.30, Current Price HKD 3.09 Gary Zhou, CFA
4.	03/01/2026	Buy, Target Price Change HKD 4.70, Current Price HKD 3.46 Gary Zhou, CFA

Historical recommendations and target price: Drinda (2865.HK)

(as of 07/06/2026)



Current Recommendations

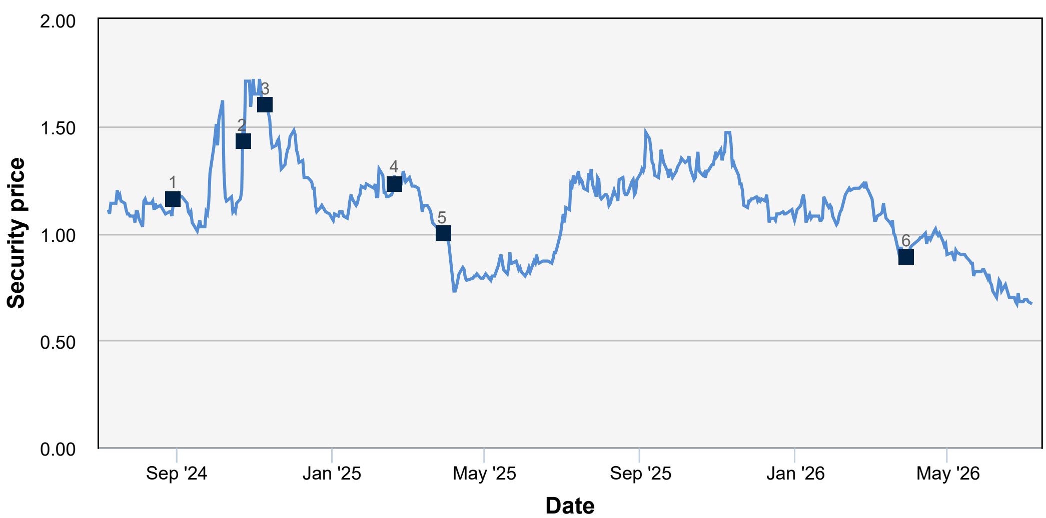
- Buy
- Hold
- Sell
- Not Rated
- Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	06/12/2025	Buy, Target Price Change HKD 52.00, Current Price HKD 23.20 Gary Zhou, CFA
2.	08/26/2025	Buy, Target Price Change HKD 50.00, Current Price HKD 22.60 Gary Zhou, CFA
3.	10/28/2025	Buy, Target Price Change HKD 39.00, Current Price HKD 17.90 Gary Zhou, CFA
4.	01/22/2026	Buy, Target Price Change HKD 45.00, Current Price HKD 25.76 Gary Zhou, CFA
5.	02/03/2026	Buy, Target Price Change HKD 55.00, Current Price HKD 45.70 Gary Zhou, CFA
6.	03/30/2026	Buy, Target Price Change HKD 50.00, Current Price HKD 27.58 Gary Zhou, CFA

Historical recommendations and target price: GCL Technology (3800.HK)

(as of 07/06/2026)



Current Recommendations

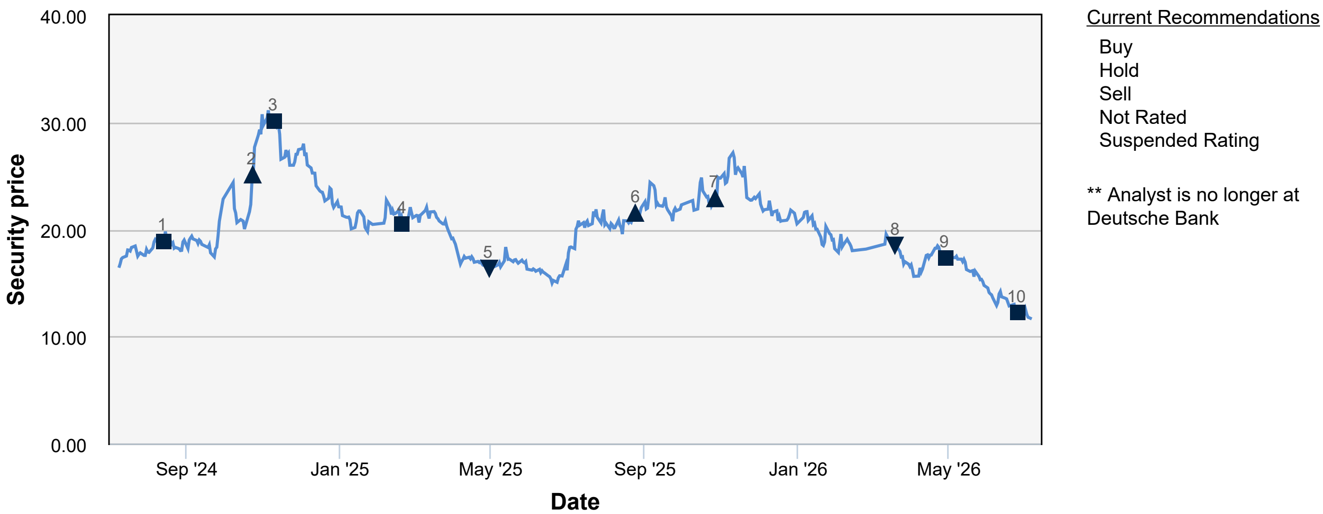
- Buy
- Hold
- Sell
- Not Rated
- Suspended Rating

** Analyst is no longer at Deutsche Bank

1.	08/30/2024	Buy, Target Price Change HKD 1.40, Current Price HKD 1.16 Gary Zhou, CFA
2.	10/24/2024	Buy, Target Price Change HKD 1.70, Current Price HKD 1.43 Gary Zhou, CFA
3.	11/10/2024	Buy, Target Price Change HKD 2.00, Current Price HKD 1.60 Gary Zhou, CFA
4.	02/20/2025	Buy, Target Price Change HKD 1.90, Current Price HKD 1.23 Gary Zhou, CFA
5.	03/30/2025	Buy, Target Price Change HKD 1.80, Current Price HKD 1.00 Gary Zhou, CFA
6.	03/30/2026	Buy, Target Price Change HKD 1.40, Current Price HKD 0.89 Gary Zhou, CFA

Historical recommendations and target price: Tongwei (600438.SS)

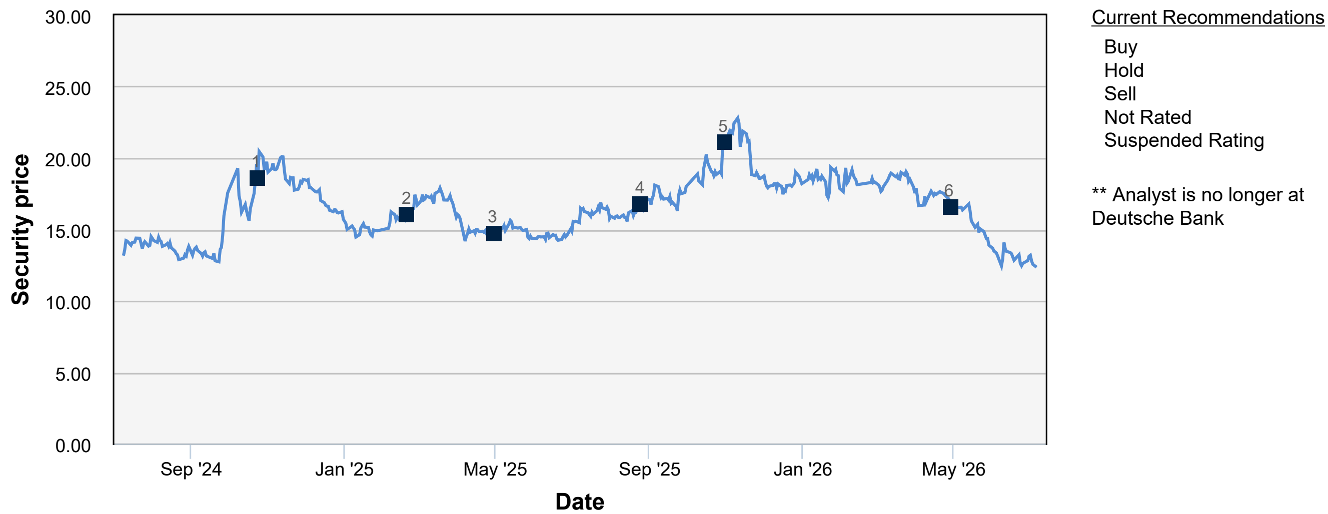
(as of 07/06/2026)



1.	08/14/2024	Sell, Target Price Change CNY 13.00, Current Price CNY 18.87 Gary Zhou, CFA
2.	10/24/2024	Upgraded to Hold, Target Price Change CNY 24.00, Current Price CNY 25.15 Gary Zhou, CFA
3.	11/10/2024	Hold, Target Price Change CNY 29.00, Current Price CNY 30.09 Gary Zhou, CFA
4.	02/20/2025	Hold, Target Price Change CNY 23.00, Current Price CNY 20.49 Gary Zhou, CFA
5.	04/30/2025	Downgraded to Sell, Target Price Change CNY 13.00, Current Price CNY 16.31 Gary Zhou, CFA
6.	08/25/2025	Upgraded to Hold, Target Price Change CNY 23.00, Current Price CNY 21.57 Gary Zhou, CFA
7.	10/27/2025	Upgraded to Buy, Target Price Change CNY 30.00, Current Price CNY 22.93 Gary Zhou, CFA
8.	03/20/2026	Downgraded to Sell, Target Price Change CNY 15.00, Current Price CNY 18.46 Gary Zhou, CFA
9.	04/29/2026	Sell, Target Price Change CNY 13.00, Current Price CNY 17.33 Gary Zhou, CFA
10.	06/25/2026	Sell, Target Price Change CNY 10.00, Current Price CNY 12.25 Gary Zhou, CFA

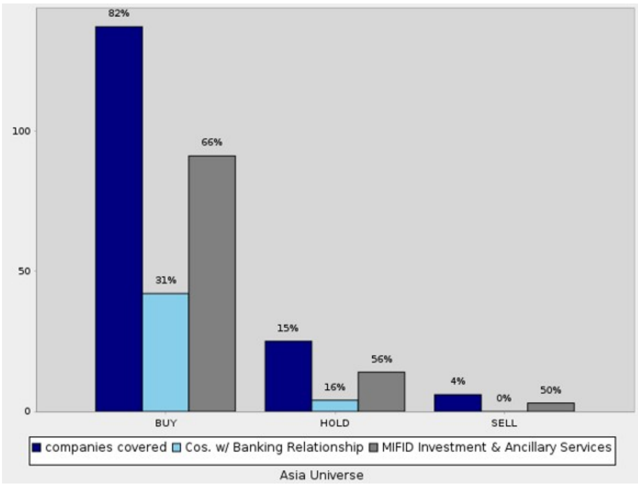
Historical recommendations and target price: LONGi Green Energy Technology (601012.SS)

(as of 07/06/2026)



1.	10/24/2024	Buy, Target Price Change CNY 25.00, Current Price CNY 18.60 Gary Zhou, CFA
2.	02/20/2025	Buy, Target Price Change CNY 24.00, Current Price CNY 16.04 Gary Zhou, CFA
3.	04/30/2025	Buy, Target Price Change CNY 20.00, Current Price CNY 14.70 Gary Zhou, CFA
4.	08/25/2025	Buy, Target Price Change CNY 24.00, Current Price CNY 16.77 Gary Zhou, CFA
5.	10/31/2025	Buy, Target Price Change CNY 27.00, Current Price CNY 21.11 Gary Zhou, CFA
6.	04/29/2026	Buy, Target Price Change CNY 25.00, Current Price CNY 16.55 Gary Zhou, CFA

Equity rating dispersion and banking relationships



Equity Rating and Dispersion Key

The Equity Rating Dispersion Chart depicts the following:

The proportion of recommendations that are rated "buy", "sell" and "hold" over the previous 12 months. This is shown for securities issued in the stated region e.g. "Europe Universe". See rating definitions below. This is represented by the "Companies Covered" bars in the chart. The percentage value displayed above the bar is the proportion as a percentage. E.g. 50% above the “buy” / “Companies Covered” bar means that 50% of DB’s equity research covered companies over the past 12 months have a “buy” rating.

Next to each of the three respective bars showing the proportion of "buy", "sell" and "hold" recommendations we provide two additional bars to show:

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Sell: Based on a current 12-month view of TSR, we recommend that investors sell the stock.

Hold: We take a neutral view on the stock 12-months out and, based on this time horizon, do not recommend either a Buy or Sell.

TSR = Total Shareholder Return. Percentage change in share price from current price to projected target price plus projected dividend yield

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